

Lecture 24 (2026-08-30)

Quick Summary

The session serves as a wrap-up of the "Managing People and Organization" course, focusing on the transition from theory to practice. Key discussions include the nuance of "how" to provide transparency, the distinction between flexibility and discipline, and the adaptation of leadership roles in different environments like startups versus established corporations. Additionally, it covers the distinction between policy existence and policy effectiveness, highlighting how group norms and internal "complexes" can hinder employee engagement. The final segment emphasizes the transition from descriptive "storytelling" to providing objective, justification-based responses using technical terminology.

Key Definitions

- **Interactional Justice:** A two-part concept consisting of (1) what is done to an employee and (2) how it is expressed. This distinction is vital because even when a manager cannot control the "what" (the outcome), they can still provide value and transparency through the "how" (the communication).
- **Performance Appraisal** (from [shot_00-18-34.png]):
 - Performance Appraisal
 - The objectives of Performance Appraisal Process
 - Designing the Performance Appraisal Process
 - Methods of Performance Appraisal
 - Performance Management vs. Appraisal
- **Role Ambiguity vs. Role Clarity:** The transition from managing a lack of information (ambiguity) to the active management of roles to ensure clarity of expectations.
- **What should be rated? (shot_00-37-34.png):** Criteria for evaluation: (1) Quality, (2) Quantity, (3) Timeliness, (4) Cost Effectiveness, (5) Need for supervision, (6) Interpersonal impact.
- **Performance Appraisal Frequency (shot_00-38-30.png):** Options for evaluation timing:
 - Quarterly (every 3 months)
 - Semi-annually (every 6 months)
 - Project-based
 - Annual (the majority of firms use this)
- **360 Degree Appraisal:** A skilled, non-restricted evaluation method beyond the standard top-down appraisal.
- **Behaviorally Anchored Rating Scale (BARS)** (from [shot_00-45-48.png]): A method that consists of a range of descriptive statements of behavior; a rater identifies which behavior best describes an employee's performance. It combines traditional rating scales and critical incident methods.
- **Field Review Method** (from [shot_00-46-57.png]): An appraisal performed by someone outside the assessee's own department, typically from the corporate office or the HR department.
- **Performance Tests and Observations** (from [shot_00-46-57.png]): Employee assessment based on a test of knowledge or skills (e.g., paper-and-pencil tests).
- **ACR (Annual Confidential Records):** Records maintained specifically in government departments; used to keep a long-term record of an individual's history.
- **Essay Method:** A narrative description of conduct or behavior over a specific period. It is specifically useful for finding information gaps that occur in more structured methods like checklists.
- **Management by Objectives (MBO):** A joint goal-setting process where the manager and team member sit together to determine what is achievable, assess past performance, and determine how to escalate to the next level.

- **Psychological Appraisals** (from [shot_00-51-41.png]): These focus on future potential and not actual performance. They assess the suitability of a person for higher responsibility, such as promotions or roles requiring a broader understanding of complexity.
- **Assessment Centers** (from [shot_00-52-37.png]): A central location where managers participate in job-related exercises as trained observers. These are primarily used for executive hiring and evaluating supervisor potential.
- **360 vs. 720 Degree Appraisal**: 360 degrees refers to internal stakeholders (supervision, peers, teammates, self). 720 degrees extends this to include external stakeholders (investors, customers, government, suppliers).

Performance Interview Types (from [shot_00-55-47.png]):

- Tell and sell (Directive)
- Tell and listen (Dialogue)
- Problem-solving (Participative)
- Mixed
- **Work-Life Balance Case Study** (from [shot_01-16-04.png]): A scenario involving an employee, Taruna, who has the option for "accommodation" (flexi-time, part-time, or fewer responsibilities) but faces a conflict between company policy and cultural perception.
- **Group Norms**: Acceptable standards of behavior within a group that are shared by the group's members. If employees align their thinking with positive norms, the probability of positive impact grows.

Worked Examples

Checklist Method (shot_00-43-52.png):

Method: A simple "Yes/No" format to evaluate specific traits:

- Does he or she obey orders?
- Does he or she keep his/her temper?
- Does he or she observe safety precautions?
- Does he or she possess adequate knowledge about the job?
- Does he or she co-operate with his/her co-workers?
- **Reasoning:** This is used because it is "easy to use" and "low cost." However, it is highly susceptible to "Subjectivity" and the "**Halo Effect**", where a single recent observation or a specific trait can disproportionately influence the rater's perception of the entire role.

Behaviorally Anchored Rating Scale (BARS) (shot_00-45-48.png):

- **Method:** Uses a range of descriptive statements of behavior.
- **Reasoning:** This combines rating scales with critical incident methods to provide a clearer "anchor" for the rater, making it easier to select the specific behavior that best describes the employee's performance.

Management by Objectives (MBO):

Process:

1. Joint Goal Setting: Manager and employee sit together to agree on goals.
 2. Comparison: Actual performance is compared against the agreed-upon goals.
 3. Analysis: Determine what went wrong (e.g., were the targets achievable? Were there circumstantial obstacles like lack of resources?).
 4. Continuity: Use the findings to set revised goals or identify resource needs for the next period.
- **Reasoning:** This builds commitment through participation and ensures the appraisal is a continuous process of improvement rather than just a one-time judgment.

Performance Interview Types (shot_00-55-47.png):

- **Tell and sell:** Directive approach.
- **Tell and listen:** Dialogue approach.
- **Problem-solving:** Participative approach.

- **Mixed:** A combination of the above.

Work-Life Balance Case Study (shot_01-16-04.png, [shot_01-35-22.png], [shot_01-36-22.png], [shot_01-43-11.png]):

- **Scenario:** Taruna's firm offers "accommodations" (flexi-time, part-time options) to support work-life balance.
- **Problem/Analysis:** While the policy is supportive, the effectiveness is hindered by the **Culture** and **Group Dynamics**.
- **Reasoning:** The core issue is not the absence of policy, but the "perception" of the environment. Even if a firm offers options, the "herd" behavior of colleagues who prioritize "staying late" as a proxy for "dedication" creates a culture where taking advantage of policy is perceived as a failure of commitment.

Proposed Alternatives for Work-Life Balance:

1. **Compensation:** Providing tangible rewards or "off-days" for extra hours worked.
 2. **Structural Change:** Implementing "Virtual Teams" or similar models to decouple performance from "hours spent," allowing for flexibility in location/time.
- **Strategic Resolution for Taruna:** The primary recommendation is for Taruna to seek "professional help" from HR or her manager to address the "understanding gap" and overcome personal "complexes" (e.g., feelings of being a "careless mother" or fear of being an "outlier").
 - **Chain of Impact (Logical Progression):** Policy/Support $\rightarrow$ Job Satisfaction $\rightarrow$ Performance $\rightarrow$ Alignment with Career Goals $\rightarrow$ Career Progression.

Formulas & Rules

- **Evaluation Rule:** Appraisal is not intended to "penalize" but to identify "barriers of improvement," provide "support" (coaching/counseling), and "recognize potential" for future advancement.
- **Training Prerequisite:** Assessment should be conducted after the individual has received proper training to ensure clarity on expectations and KPIs.
- **The Wisdom Chain:** A hierarchy of decision-making: Data $\rightarrow$ Information $\rightarrow$ Knowledge $\rightarrow$ Wisdom. Wisdom is the ability to apply knowledge and context to handle complex dilemmas.
- **Data Management Rule:** Appraisal data must be kept confidential and secure, but the process must remain transparent so it can be used for specific purposes like promotion, transition, or disciplinary action.
- **Chain of Success Rule:** Company Policy $\rightarrow$ Support for balance $\rightarrow$ Job Satisfaction $\rightarrow$ Employee Performance $\rightarrow$ Alignment with Career Goals $\rightarrow$ Career Progression.

Tricky Logic & Traps

- **Judgment vs. Performance:** A critical distinction for fairness. Evaluation must be on "performance" (objective work output) rather than "judgment" of the individual (subjected traits like gender, ethnicity, or religion).
- **The "Average" Trap (Forced Distribution):** While "Forced Distribution" (shot_00-45-00.png) is used to identify high-potential leaders by forcing a distribution curve, it can "kill innovation" if it leads to "average" ratings. Managers may default to safe, middle-ground ratings to avoid being in "bad books" or to avoid the difficulty of making extreme assessments.
- **Role Clashes:** Distinct from "Ambiguity" (lack of info). A "Clash" occurs when a manager's personal nature (e.g., being "people-oriented") conflicts with their professional requirement to be "firm" on their stance/decisions.
- **Halo Effect:** Raters may allow a single prominent trait or a recent event to skew the entire evaluation of a checklist.

- **Subjectivity in Checklist:** Because checklists are "simple," they are prone to the rater's personal bias creeping in, potentially undermining the objectivity of the assessment.
- **MBO Applicability:** MBO is not universally applicable. For instance, in assembly line jobs, employees may not have "challenging" or "inspiring" goals, making the joint-setting model less practical than in specialized roles.
- **360 vs. 720 Distinction:** The difference is the scope of the "circle." 360 is internal (colleagues/supervisors); 720 includes external entities (investors, customers, etc.). 360 is much more prevalent because gathering data from external agencies (720) is difficult and complex.
- **Appraisal vs. Management:** Appraisal is a point-in-time evaluation; Performance Management is a **continuous** activity of collecting data, maintaining records, and providing ongoing feedback.
- **Psychological Appraisal Focus:** Unlike standard appraisals that look at past behavior, these are strictly for **future potential** and suitability for higher-level responsibility or succession planning.
- **Non-Discouragement vs. Encouragement:** A policy that is "not discouraging" (i.e., it exists but is passive) is not the same as a policy that is actively "encouraging."
- **Policy vs. Practice (Cultural Gap):** A firm may have a supportive policy on paper, but if the internal **Group Dynamics** and **Norms** prioritize staying late as "dedication," the policy becomes ineffective in practice.
- **Herd Mentality:** Individual employees (like Taruna) may ignore available benefits because they are influenced by the behavior of the group (the "herd") and the fear of how they are perceived by their peers.
- **The "Outlier" Trap:** Employees often fail to utilize available "accommodations" because they fear being seen as an "exception" to the group norm (e.g., the expectation to stay late).
- **Internalized Complex/Self-Guilt:** A distinction between a lack of support and an individual's internal "complex" or "self-guilt" (e.g., someone feeling guilty about a new role like motherhood). These internal feelings can mask the effectiveness of a good policy.
- **Communication/Trust Barrier:** A lack of trust in management or a "scary" corporate culture can create a communication gap where employees are too afraid to reach out to HR, even when a solution exists.
- **Subjective Interpretation vs. Objective Assessment:** A trap for students in the exam—do not look for a single "correct" sentence in the text. The exam rewards the ability to build a logical argument using "terms belonging to the subject" to justify a choice.
- **Narrative vs. Objective Justification:** A trap for students is including unnecessary "storytelling." The exam requires **relevance** and **objectivity**. Instead of using a general term like "dilemma," use specific terms such as "perception" or "support" to describe how a company's offering is being valued by the employee.
- **The Relevance Rule:** Ensure every point in a response is relevant to the specific question. Avoid long stories; focus on the **interrelationship** of concepts (e.g., how diversity/inclusion policies specifically address issues like motherhood).

Exam Pointers

- **EC3 (Open Book):** Focus on the "higher level of understanding" of concepts to justify decisions and navigate "judgement dilemmas" specifically when managing people.
- **Applicability:** The course emphasizes that while some management content is "standard" (like those in the PMP), the "experiential" elements—the "why" and the "how"—are what provide long-term value in professional roles.
- **Case Selection:** For the open-book exam, you must select the correct framework based on the context provided (e.g., choosing a Psychological Appraisal for a promotion candidate vs. a standard Appraisal for a current role).
- **Note on Reference Material:** Underline and highlighting in standard textbooks are allowed to assist in identification, but avoid excessive note-writing or personal annotations that could be misinterpreted as "pre-solved" answers.

- **Interpretation of "Effectiveness":** When analyzing a case (like the Work-Life Balance case), distinguish between whether a policy exists (it's there) and whether it is effective (it's used). Effectiveness is often hindered by cultural barriers and "herd mentality."
- **Justification Over Selection:** For the exam, the "justification" of your answer is key. You are being assessed on your ability to provide a logically-structured argument for your chosen path rather than simply picking the "right" option.
- **Use Technical Terminology:** Do not rely on "storytelling" or descriptive narratives. Use specific terminology from the syllabus (e.g., "perception," "support," "interrelationship") to provide a professional, objective justification for your choice.
- **Objective vs. Descriptive:** Avoid "making stories" that are not relevant. The goal is to sound objective and justified by using the appropriate terminology to describe complex human-centric issues (e.g., inclusion, motherhood, emotional management).

Sources

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